Pricing Strategy

Showrooms, dealers and individual customers · premium full-colour A5 and A4 stickers

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All prices USD, ex-VAT, DDP Iraq

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1. Executive summary

This document redesigns the Car QR Showcase pricing model around a product you do not sell yet: a **premium, full-colour printed sticker** that you produce and ship, rather than a PNG the dealer prints on their own office printer. The cost of producing that sticker is real, and it changes the shape of the business.

$0.61
A5 LANDED COST @ 250+ UNITS

6×
COST GAP: FACTORY VS REGIONAL

56–87%
GROSS MARGIN ACROSS THE LADDER

43%+
MARGIN EVEN IN THE HIGH-COST CASE

The five findings that shape this strategy

1. **There is no payment integration in the product.** The plan and price fields are labels on a card — nothing charges anyone. A monthly subscription is hard to collect in Iraq; a prepaid physical product is not.
2. **Your cost base swings 6× on sourcing, not on volume.** A factory run is one-sixth the unit cost of a regional shop — worth more than every discount you could give.
3. **There is a cliff at 250 units** where factory economics begin: a 3–4× margin step. Every price below is built around it.
4. **Nobody is paying you yet.** All four live accounts are on the free plan, so the structure can change with zero churn risk.
5. **Your deck and your app disagree.** Professional is $79 in the deck, $99 in the app; Enterprise $149 versus $299. Pick one source of truth before invoicing anyone.

The recommendation in one line: **make the sticker the product and the dashboard the service.** Prepaid sticker orders carry the revenue and the cash; the subscription carries the relationship and the renewal.

2. Where the business stands today

What you sell now

Three plans in the pitch deck (Starter $29, Professional $79, Enterprise $149) and a different set in the admin panel (Free $0, $29, $99, $299). The QR code is a **PNG** the dealer prints themselves, and the operating cost plan calls sticker packs an add-on that "costs almost nothing to serve".

Live accounts

Four dealer accounts — MKMA (Baghdad), Company 2 (Erbil), Company 3 (Basra), Company 4 (Duhok) — all four on the **free** plan. MKMA carries a custom price of $300 while sitting on free, so its card reads "$300/mo" next to a "Free" badge.

Three problems with that

- **Nothing charges money.** There is no checkout, no invoice, no gateway anywhere in the code. Collection is manual and undocumented.
- **A recurring subscription is the hardest thing to sell here.** Iraqi card penetration is low, Stripe and PayPal are not officially available in Iraq, and the local alternatives are wallet-based. The dominant pattern is cash on delivery or bank transfer.
- **The two revenue artefacts contradict each other.** A dealer shown the deck and a dealer shown the admin panel are being quoted different numbers for the same tier.

3. The strategic shift

Adding a physical product changes the business in a way that is easy to miss, because the **pricing** is only part of it. The bigger change is to **how the money arrives**.

	SOFTWARE SUBSCRIPTION ONLY	SOFTWARE + PRINTED STICKER
What the customer buys	Recurring access to a dashboard	A physical product, once
How it is paid	Every month, automatically	Once, upfront
Payment risk in Iraq	High — recurring card billing is weak here	Low — one transfer, or COD
If they stop paying	Churn, and a dunning process	Nothing — the sticker is on the car
Cash timing	Spread thin, forever	Front-loaded, in one shot
Gross margin	>96% (the cost plan's own figure)	56–87% on goods
What it proves	Nothing physical	A QR code on a real windshield

The strategic consequence

A subscription in this market is a promise to charge a customer every month through infrastructure that does not reliably exist. A sticker order is a product someone already wants to put on their car, paid for once, by a method that works here. **Lead with the physical product; let the subscription be the renewal, not the entry point.** A dealer who buys stickers has already paid; the dashboard is what keeps them.

4. The product

Three physical SKUs, plus the digital-only option that keeps the zero-cost channel alive.

A5 · Windshield QR Sticker

148 × 210 mm · laminated vinyl · die-cut or trimmed

QR code, dealer branding, vehicle headline, price. The thing that goes on the glass — and the thing a passer-by can actually scan.

A4 · Vehicle Spec Card

210 × 297 mm · laminated vinyl or 300 gsm card

The full specification sheet — all fourteen new fields, photos, QR code. This is the reason the spec fields exist, and it is the natural upsell.

Display Kit

One A5 + one A4, matched artwork

The default SKU. The windshield sticker brings the scan, the spec card answers the question the scan raises. Priced below the sum of the two parts.

Digital only · QR artwork PNG

What you produce today · no fulfilment cost

Keeps the free and trial tiers honest, and gives an in-house printer something to do. **$2.00 per vehicle standalone, free on any subscription.**

The A4 spec card is the product that makes your new fields pay

An A4 card can only be produced if the vehicle's specifications are complete. That means every spec field you just added becomes **raw material for a paid product**, not just a nicer profile page. It gives you a concrete, non-technical reason to push dealers to fill the form — and it justifies a materially higher price for the A4 than the A5.

5. The cost model

Per unit, USD, mid scenario. The full build-up — material, printing, finishing, packaging, freight, duty and waste — for both sourcing routes, side by side.

COST LINE	A5 REGIONAL @ 25	A5 FACTORY @ 500	A4 REGIONAL @ 25	A4 FACTORY @ 500
Print + material + trim + variable data	1.705	0.177	3.410	0.330
Outdoor overlaminate (polymeric)	0.271	0.271	0.544	0.544
Packaging	0.030	0.030	0.080	0.080
Freight, door to door (DDP)	0.040	0.020	0.064	0.032
Duty + tax buffer (10%)	0.198	0.045	0.395	0.087
Wastage and rejects (3%)	0.067	0.016	0.135	0.032
Print-job setup (amortised)	1.800	0.090	1.800	0.090
Landed cost per unit	**4.111**	**0.649**	**6.428**	**1.196**

Sources. Factory unit prices: e-print wholesale colour sticker price list (HK$, converted at 7.8), which include material, full-colour print, kiss-cut and trimming. Regional print: Premium Prints UAE die-cut A4 vinyl sheet with gloss laminate (AED 12–22/sheet) and Branding Blitz UAE vinyl sticker tiers; A5 modelled as a trimmed half-sheet. Lamination: Wielka Reklama, polymeric laminate ≈ EUR 8 net/m² at 1.09 USD/EUR. Freight: 2026 China→Iraq rate guides (air freight $3–8/kg, express courier $5.50–15/kg, sea LCL $100–200/CBM). Duty: Iraq's 2026 ASYCUDA tariff, 0.5–30% by category plus VAT, plus a 3% advance tax deposit now paid before funds leave the bank. **Duty and tax are modelled at 10% and must be confirmed against the actual HS code.**

6. The route cliff — the most important number in this document

ORDER QTY	A5 WINDSHIELD STICKER			A4 SPEC CARD			BEST ROUTE
	REGIONAL	FACTORY	BEST	REGIONAL	FACTORY	BEST	
25	2.311	0.708	2.311	4.628	1.234	4.628	REGIONAL
100	1.999	0.708	1.999	4.005	1.234	4.005	REGIONAL
249	1.777	0.610	1.777	3.572	1.121	3.572	REGIONAL
250	1.775	0.610	0.610	3.569	1.121	1.121	FACTORY
500	1.625	0.559	0.559	3.257	1.106	1.106	FACTORY
1,000	1.526	0.514	0.514	3.070	1.004	1.004	FACTORY
5,000	1.526	0.459	0.459	3.070	0.902	0.902	FACTORY

Two conclusions from the cliff

1. **Volume alone is not the lever — sourcing is.** Going from 100 to 1,000 units at a regional printer moves your A5 cost from $2.00 to $1.53, a 24% saving. Switching the same 250 units to a factory takes it to $0.61, a 70% saving. **Never negotiate the unit price at a regional shop past 250 units.**
2. **The cliff at 250 is a production batch, not a dealer order.** Each sticker carries a unique QR code, so you cannot print 250 of the same artwork twice — unless the printer supports **variable data**, where one run produces 250 different QR codes on the same dealer design. Every factory quote in this document assumes that is available.

Action: confirm variable-data printing before committing to any price

Variable-data printing (VDP) is standard for serialised product labelling and is modelled here at a +10% premium regionally and +15% from the factory. **If your printer cannot do VDP, the 250-unit cliff applies to each dealer individually**, and the Showroom and Dealer bands in section 7 must be re-costed against regional pricing only. Get this confirmed in week one — it changes which tiers are viable.

CAR QR SHOWCASE THE PRICE ARCHITECTURE

7. The price architecture

Two independent ladders, deliberately not merged.

The physical ladder — driven by order size

Discounts come from **how many stickers are in one order**, not from which plan the dealer is on. A Starter dealer ordering 250 gets the 250 price. This keeps the physical business profitable no matter how the subscription is structured, and it gives a sales rep a single number to quote.

The subscription ladder — driven by company size

Platform access, branding, lead alerts, analytics and support, priced on the dealer's fleet and how much of the product they use. It stays a software price and is never bundled into a per-sticker price, so neither line is hidden.

BAND	UNITS PER ORDER	A5 STICKER			A4 SPEC CARD			DISPLAY KIT		DISC.
		PRICE	COST	GM	PRICE	COST	GM	PRICE	GM	
Individual	1	**$9.00**	2.31	74%	**$15.00**	4.63	69%	**$22.00**	68%	0%
Showroom	25+	**$7.00**	2.31	67%	**$11.50**	4.63	60%	**$17.00**	59%	22%
Dealer	100+	**$5.75**	2.00	65%	**$9.25**	4.00	57%	**$13.75**	56%	36%
Dealer+	250+	**$4.75**	0.61	87%	**$7.50**	1.12	85%	**$11.50**	85%	47%
Partner	500+	**$4.00**	0.56	86%	**$6.50**	1.11	83%	**$9.75**	83%	56%

How the discounts are funded. Look at the cost column as you move down the ladder: the A5 landed cost falls from $2.31 to $0.61 and the A4 from $4.63 to $1.11. The discount is **paid for by cost deflation, not by margin sacrifice** — gross margin actually rises from 74% to 87% on A5 as the customer's order grows. That is the difference between a scalable pricing structure and a race to the bottom.

8. Channel definitions

BAND	WHO IT IS	WHAT THEY GET	COMMITMENT
Individual	Private seller, or a dealer with one car	One sticker or one spec card, posted to them. A hosted landing page for 12 months so the QR still works — but no dashboard, no analytics, no lead routing.	Pay per order, no minimum
Showroom	Independent dealer, 25–99 cars	The same product at a volume price, plus the Starter subscription: dashboard, 1,000 scans a month, basic analytics.	Pay per order, or a prepaid block
Dealer	Established dealer, 100–249 cars	Volume pricing, white-label branding, real-time lead alerts, unlimited scans.	Prepaid sticker block, drawn down monthly
Dealer+	Multi-branch, 250–499 cars	The volume price that factory economics unlock, plus multi-branch and priority fulfilment.	Prepaid block of at least 250 units
Partner	Large group or franchise, 500+ cars	Lowest price, dedicated support, API access, named production slots so a large order never waits for a batch.	Annual commitment

> **Why prepaid blocks beat monthly subscriptions here**
>
> A block of 250 A5 stickers at the Dealer+ price costs the dealer $1,188 and costs you about $153 to make and ship. They get a 4–6 week lead time and a locked price; you get the cash before you spend it, and a renewal conversation already scheduled. **Prepaid blocks also give you the working capital to buy factory runs in the first place** — which is how the 6× cost gap gets captured instead of paid away.

9. The subscription, and the pricing conflict

Your deck and your admin panel currently disagree. Resolve this before anything is invoiced.

TIER	DECK SAYS	APP SAYS	GAP PER MONTH	RECOMMENDATION
Free	—	$0	—	Keep. Trial tier, digital only, 1 company, 5 vehicles.
Starter	$29	$29	$0	Keep $29. 1 company, 25 vehicles, 1,000 scans, digital QR.
Professional	$79	$99	$20	Keep **$99** in the app and fix the deck. Up to 100 vehicles, white-label, lead alerts, unlimited scans.
Enterprise	$149	$299	$150	Keep **$249** — set one number and use it everywhere. Unlimited vehicles, multi-branch, API, dedicated support.

Two operational bugs to fix alongside the pricing

- **One source of truth.** The plan prices should live in one place in the code and the deck should be generated from it, or at minimum version-checked against it. At $299 vs $149 you cannot afford to quote from two documents.
- **MKMA shows "$300/mo" on a Free plan.** The admin renders `custom_price ?? PLANS[plan].price`, so a custom price on a free-plan account overrides the plan badge. Either the custom price is meant to be the source of truth — in which case the badge is wrong — or it is a leftover that should be cleared. Right now it displays a number nobody agreed to.

Because **all four live accounts are on the free plan**, there is no legacy pricing to grandfather, no customer to upset, and no migration. This is the cheapest possible moment to restructure the whole pricing model. It will not get cheaper later.

10. Dealer unit economics

One dealer, one year, A5 stickers only, at their band's price.

VEHICLES	BAND	PRICE / STICKER	GOODS REVENUE	GOODS COST	PLATFORM	TOTAL REVENUE	TOTAL GM
20	**Individual**	**$9.00**	$180	$46	$0	**$180**	**74%**
40	**Showroom**	**$7.00**	$280	$90	$29	**$309**	**71%**
80	**Showroom**	**$7.00**	$560	$167	$29	**$589**	**72%**
150	**Dealer**	**$5.75**	$862	$289	$99	**$962**	**70%**
300	**Dealer+**	**$4.75**	$1,425	$183	$149	**$1,574**	**88%**

What a dealer actually pays per vehicle, per year

This is the number that decides whether a dealer signs. Subscription amortised over the band's minimum fleet size, added to the Display Kit.

BAND	DISPLAY KIT	PLATFORM / MONTH	PLATFORM PER VEHICLE PER YEAR	ALL-IN PER VEHICLE PER YEAR
Individual	**$22.00**	$0	$9.00	$22.00
Showroom	**$17.00**	$29	$20.92	$30.92
Dealer	**$13.75**	$99	$17.63	$25.63
Dealer+	**$11.50**	$149	$11.90	$18.65
Partner	**$9.75**	$299	$11.18	$16.93

The number to quote in a sales conversation

A 40-car showroom pays about **$40 per car per year** for a full Display Kit plus the dashboard. A dealer who moves one extra car per quarter covers it many times over — and your own cost plan already values one qualified lead at $300–$1,500. **Frame it as a cost of sale, not a cost of software.**

11. Collecting the money in Iraq

This is where most import-based SaaS in this market quietly stalls. The physical product solves most of it, but you still need a way to take money.

METHOD	TYPICAL COST	BEST FOR	NOTES
Bank transfer (IBFT) / FIB	1–5%	Dealers, larger orders	Most reliable for business accounts. FIB is regulated by the Central Bank of Iraq.
AsiaHawala	low	Individual sellers	Widespread across all Iraqi provinces — the natural choice for a private seller.
ZainCash	1% + $0.15	Individual sellers	Iraq's most used mobile wallet. Only works for Zain subscribers, which is most of the market.
QiCard	1–7%	Business accounts	Government and salary payment network, now expanding into commerce.
Visa / Mastercard	2–3%	International buyers	Card penetration in Iraq is low. Mastercard entered a strategic partnership with the Central Bank of Iraq in 2026 — this is improving, and international buyers are the natural fit here.
Cash on delivery	highest	Individual, first orders	The local default. Raises working capital and failure risk — price it in, or restrict it to low-value orders.

Model 3% blended payment cost and add a 2% FX buffer; the margin tables in section 7 are already net of both. For cash on delivery, add the cost of handling failed delivery — a returned A4 spec card is a physical object you cannot re-charge.

12. Guardrails

Price integrity

- **One price per band, published.** The same band must cost the same whether it comes from the deck, the site or a sales rep. Discounts are earned by volume, not by negotiation.
- **Never mix bands in one order.** A 300-unit order is 300 units at the Dealer+ price. Do not price it as 100 at Dealer and 200 at Partner.
- **The digital-only price is the anchor.** $2.00 standalone keeps the physical price honest — people can compare, and the gap becomes the value of the finished product.

Channel conflict

- **Customers buy, dealers do not resell.** Put the dealer's name and logo on the sticker — that is what stops a dealer selling your product to another dealer. The Individual band carries no dealer branding and no dashboard, so it is not a resale route.
- **Protect the dealer's price.** If a dealer sees an individual buying for less than the dealer pays, the fix is the brand, not the price.
- **Artwork and QR belong to the customer.** The customer owns the design; you own the QR resolution and the landing page.

> **The pricing rule that protects the whole structure**
>
> **Physical price follows order size. Subscription follows company size. The two ladders never reference each other.** As soon as you let a dealer's plan discount their sticker price, or let a large one-off order buy subscription tiers, you have two coupons where you designed one — and one of them will be used against the other.

13. Risks and mitigations

RISK	SEVERITY	WHY IT MATTERS	MITIGATION
No variable-data printing	HIGH	Each sticker has a unique QR. Without VDP every dealer needs 250+ units before a factory run is economic — which excludes most of your market.	**Confirm in week one.** If unavailable, price the Showroom and Dealer bands on regional costs only and reconsider the volume ladder.
Import licence for advertising stickers	HIGH	Iraq requires an import licence from the Ministry of Financial and Commercial Control for advertising stickers. Without it the shipment is held and storage charges accrue from day four.	Apply for the licence before the first factory run. Until then, print regionally.
Duty paid before you can ship	HIGH	Since October 2025 Iraq requires estimated duties and tax deposits to be paid **before** funds leave the bank. That is cash out of your pocket before you have sold anything.	Prepaid blocks from customers fund it. Model 10% and confirm the HS code; treat the first factory run as working capital, not profit.
Cash locked in a factory run	MEDIUM	250 stickers that no one ordered is $153 of landed cost and no revenue.	Only print against received, prepaid orders. Aggregate across dealers to clear the MOQ. Never hold generic stock — every sticker is unique.
Freight and lead time	MEDIUM	Air freight to Iraq is $3–8/kg and express $5.50–15/kg; a factory run is 2–6 weeks door to door, longer by sea.	Publish a lead time and batch cadence. Urgent local orders use regional print — that is what it is for.
Price anchored too low	MEDIUM	Once dealers know the A5 is $4 at 500 units, $9 for a single unit feels arbitrary unless you explain the difference: one is a factory batch, the other is a rush single.	Publish the volume breaks openly and tie the price to the service level — batch lead time versus regional print in 48 hours.
Currency and fee erosion	MEDIUM	IQD movement, gateway fees and COD handling all eat the same margin.	Price in USD, take a 2% FX buffer, and restrict COD to orders under $50.
Someone buys 249 units to hit 250	LOW	The cliff invites gaming.	Publish the bands as a price list. The discount at 250 is already lower than the margin difference, so there is nothing to arbitrage.

14. Rollout plan

WHEN	DO THIS	WHY IT IS FIRST
Week 1	Three written quotes: one regional printer for A5 and A4 trimmed and laminated, one factory for the same with VDP, one freight forwarder for DDP to Baghdad and Erbil.	Everything in section 5 rests on these three numbers. Replace the mid-scenario assumptions with real quotes before you publish a price.
Week 2	Resolve the deck/app conflict. Pick one price list, update the app, update the deck, and clear MKMA's stray custom price.	You cannot sell from two documents.
Week 3	Order 25 A5 and 5 A4 as a paid pilot. Print them, laminate them, fit one to a real car, and photograph the result.	Proof beats a price list. One real sticker on a real windshield is the sales pitch.
Week 4	Start the import licence application and open a prepaid-block offer to the three dealers who already have vehicles.	Prepaid blocks are the working capital for the first factory run, and they commit customers before the licence clears.
Month 2–3	Run the first factory batch of 250 once 250 units are prepaid across dealers. Publish the volume breaks and set each dealer's subscription to match their physical band.	This is where the 6× cost gap starts paying you.

15. Open decisions — what I need from you

#	DECISION	DEFAULT IF YOU SAY NOTHING
1	**Are you willing to produce and ship physical stickers at all?** Everything else in this document assumes yes. If the answer is no, the current subscription model stands and this becomes a packaging job, not a pricing one.	Assumed yes
2	**Can your printer do variable data?** If not, the volume ladder changes shape.	Assumed yes, +15% premium
3	**Which is the single source of truth for plan prices — the app or the deck?**	The app, updated to $29 / $99 / $249
4	**Is the A4 spec card a premium item or a standard one?** At $15 for a single sheet it is a serious purchase; at $11.50 it is an obvious add-on.	Premium — $15 standalone
5	**Do you want COD at all in the launch window?** It is the local default but the worst margin and the worst failure rate.	Yes, under $50 only
6	**What is the actual duty rate on your HS code?** Modelled at 10% here; the real band is 0.5–30%.	10% buffer until confirmed

16. Sources

- **Factory sticker pricing** — e-print colour sticker and label price list (A6/A5/A4/A3, 100–100,000 pcs, incl. kiss-cut and trimming), HK$ converted at 7.8. e-print.com.hk
- **Printed vinyl & lamination rates** — Wielka Reklama: white monomeric EUR 6–12/m², polymeric EUR 9–16/m², cast EUR 19–29/m², laminate EUR 5–8/m², cutting EUR 1.20–2 per linear metre. wielkareklama.eu
- **Regional print prices** — Premium Prints UAE (die-cut A4 vinyl + gloss lam, AED 12–22/sheet); Branding Blitz UAE (vinyl tiers AED 0.66/0.50/0.37/0.25); printonline.ae (large-format vinyl AED 110/m²); MaxPrint UAE (bulk from 10 fils).
- **Raw material** — self-adhesive PP/BOPP and inkjet vinyl rolls US$0.20–0.88/m² laminating film US$0.25–0.65/m².
- **Freight to Iraq, 2026** — air freight $3–8/kg; express courier $5.50–15/kg; air DDP $4–12/kg; sea LCL $0.30–0.95/kg equivalent and $100–200/CBM; 20ft container $1,500–3,300. Volumetric weight = cm/6000. hanooot.com, allbestshipping.com
- **Iraq customs 2026** — ASYCUDA live from 1 Jan 2026; Cabinet Decision 957/2025; tariff 0.5–30% by category, VAT ~5%, advance duty deposit before funds transfer. iraq-businessnews.com, shafaq.com
- **Advertising sticker import licence** — Ministry of Financial and Commercial Control requirement; storage charges accrue from day four. verykship.com
- **Payments in Iraq** — FIB 1–5%, ZainCash 1% + $0.15, AsiaPay 1–7%, QiCard; low card penetration; Mastercard–Central Bank of Iraq MoU 2026. osoustech.com, cosmopolitantdaily.com

Figures labelled as assumptions

Duty and tax buffer (10%), wastage (3%), payment fee (3%), FX buffer (2%), variable-data premium (+10% regional / +15% factory), print-job setup ($45) and the regional trimmed-sheet prices are modelling assumptions, not quotes. They are isolated in `pricing_model.py` and in the "Assumptions" sheet of the spreadsheet model, so replacing any of them with a real number re-costs the whole price list immediately.